

illustrate precisely how impactful the sequence of returns can be as we transition into retirement, and why it is so important to think differently about investing as we complete the process of converting our human capital into financial capital.

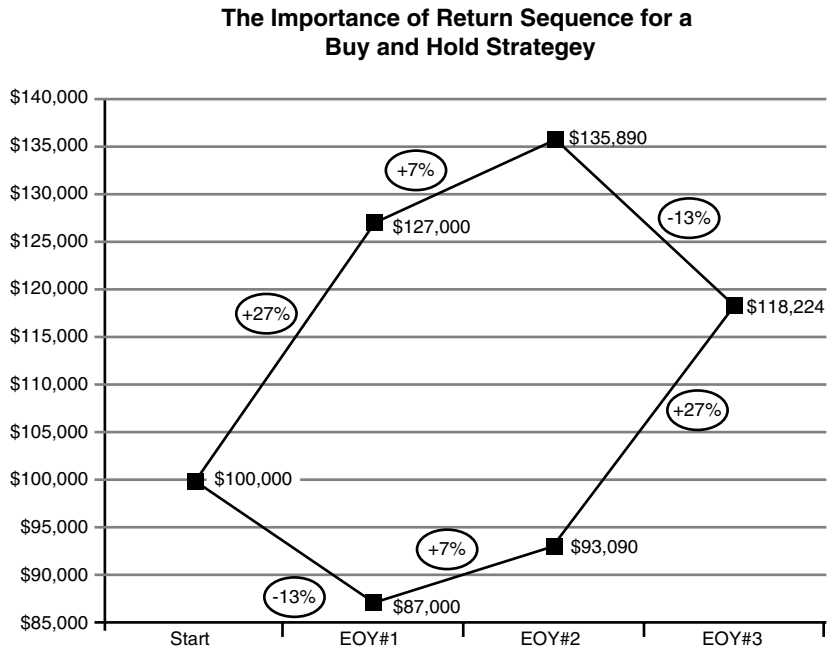


Figure 6.1 The path doesn't matter at all.

Source: Moshe Milevsky and the IFID Centre, 2008.

Retirement Income Trigonometry

Stock markets, interest rates, and investment returns move in periodic cycles. Unfortunately, these cycles, are swamped with noise and become evident only with the benefit of hindsight. The current academic consensus is that they are extremely difficult to predict in advance. Nevertheless, these cycles—once they do materialize—can have a profound impact on the sustainability of retirement income.

If you retire and start to withdraw money from your invested financial capital just as the economy moves into a bear market cycle, your portfolio's longevity can be at risk. Your nest egg will not last as